COMMERCIAL PROPERTY INSURANCE

BROKER SUBMISSION DOCUMENT

Azul Biscayne Resort & Spa

Miami, Florida | Full-Service Luxury Hotel | Submission Date: March 18, 2026

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Section 1 — Submission Cover / Broker Letter

March 18, 2026

Dear Underwriter,

Harbor Point Commercial Insurance Brokers, LLC is pleased to present the following commercial property submission on behalf of our client, Azul Biscayne Resort & Spa, LLC (hereinafter 'the Insured' or 'Azul Biscayne'), for a policy effective April 1, 2026.

Azul Biscayne Resort & Spa is a 19-story, full-service luxury hotel located at 2900 Biscayne Boulevard, Miami, Florida. The property comprises 388 guest rooms and suites, a 32,000 sq. ft. conference and event center, three food and beverage outlets, a rooftop pool and bar, a 9,800 sq. ft. full-service spa, and a 520-space structured parking garage. The property has operated continuously under current ownership since its 2008 opening and completed a comprehensive $31.5 million capital renovation program in 2023.

This is a renewal submission following the non-renewal of the expiring policy by Landmark Specialty Insurance Company, which exited the South Florida hotel segment due to portfolio concentration concerns — an action unrelated to the Insured's claims experience or risk characteristics. We are requesting a firm quote at the values and terms detailed herein.

This account presents the following key underwriting strengths:

- Historic / Unreinforced Masonry construction — 19-story cast-in-place reinforced concrete tower
- NFPA 13 Wet Pipe sprinkler system — 100% coverage throughout; last inspected October 2025
- UL-Listed Central Station Monitored fire alarm and security systems
- Complete systems renewal in 2023 renovation: electrical, HVAC, plumbing, and roof
- Two reported losses in the 5-year lookback period totaling $72,400 — both closed, no litigation
- Current independent appraisal (February 2026) confirming full replacement cost adequacy
- Formal Enterprise Risk Management program; ISO 31000 aligned; board-level oversight

A complete underwriting package, including 5-year certified loss runs, the independent appraisal report, building permits and certificates of occupancy for the 2023 renovation, and the most recent fire marshal inspection report, is enclosed with this submission. We are available to arrange a risk engineering site visit at your request.

We look forward to your favorable response. Please direct all underwriting inquiries to the contact below.

Respectfully submitted,

Caroline M. Dupree, CPCU, ARM

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Section 2 — Insured & Account Overview

Named Insured	Azul Biscayne Resort & Spa, LLC
DBA / Trade Name	Azul Biscayne Resort & Spa
Entity Type	Florida Limited Liability Company
Property Address	2900 Biscayne Boulevard, Miami, FL 33137
Mailing Address	2900 Biscayne Boulevard, Miami, FL 33137
County	Miami-Dade County, Florida
Primary Contact	Mr. Rafael A. Castellanos — Chief Financial Officer
Phone / Email	(305) 882-6600 | r.castellanos@azulbiscayne.com

Federal EIN	59-3847210
NAICS Code	721110 — Hotels (Except Casino Hotels) and Motels
Years in Business	18 Years (continuous operation since April 2008)
Ownership	Privately held; controlled by Castellanos Hospitality Group, LLC
Franchise / Brand	Independent (no franchise affiliation; soft-brand member of Preferred Hotels & Resorts — L.V.X. Collection)
Management Company	Azul Hospitality Management, Inc. (affiliate of ownership group)
Requested Eff. Date	April 1, 2026
Requested Exp. Date	April 1, 2027

Azul Biscayne Resort & Spa is a full-service luxury hotel serving the Miami upper-upscale segment. The property operates 388 guest rooms and suites across 19 floors, a 32,000 sq. ft. conference and event center, three food and beverage outlets (Marea Rooftop Bar & Lounge, Sal Restaurant, and La Palma Poolside Café), a 9,800 sq. ft. destination spa, a rooftop infinity pool, and a 520-space attached structured parking garage. The hotel caters to a blend of high-end leisure travelers, corporate transient guests, and group/convention business. Average Daily Rate (ADR) for the trailing 12 months (ending December 2025) was $389, with an overall occupancy rate of 74%.

Section 3 — Schedule of Values (SOV)

Loc	Description	Construction	Year Built	Sq Ft	Building RCV	BPP	TIV
001	Main Hotel Tower (19 Floors)	Historic / Unreinforced Masonry	2008	412,000	$128,500,000	$9,200,000	$137,700,000
002	Conference & Event Center (1-Story Annex)	Historic / Unreinforced Masonry	2008	32,000	$14,200,000	$1,800,000	$16,000,000
003	Structured Parking Garage (6 Levels)	Non-Combustible (Light Steel)	2008	320,000	$11,800,000	$400,000	$12,200,000
004	Rooftop Pool Deck & Cabana Structures	Non-Combustible (Light Steel)	2023	6,200	$2,100,000	$350,000	$2,450,000
	TOTAL INSURABLE VALUE (ALL LOCATIONS)				$156,600,000	$11,750,000	$168,350,000

Appraisal Provider	Rimkus Consulting Group, Inc. — Marshall & Swift Valuation
Appraisal Date	February 12, 2026 (current; within 12 months of requested effective date)
Valuation Basis	Full Replacement Cost Value (RCV) — no depreciation applied
Insurance-to-Value	20% or greater — full replacement cost confirmed; no coinsurance deficiency
Inflation Guard	4% annual indexing applied per appraisal recommendation
Mortgage / Lienholder	Truist Commercial Real Estate — First Mortgage Lien; DSCR 1.38x (2025)

Section 4 — Loss History (5-Year Period: 2021 – 2025)

5-Year Loss Count	8 losses
5-Year Total Incurred	$72,400 (both paid and closed)
Largest Single Loss	$41,800 — June 2022 water damage event
Litigation	None — no open claims, no disputes, no coverage controversies
Loss Runs Enclosed	Yes — 5-year certified loss runs from Landmark Specialty Insurance Company

Date	Cause of Loss	Location / Area	Gross Incurred	Net Paid	Status	Deductible
Jun 2022	Water damage — supply line fitting failure	8th Floor guest corridor	$41,800	$41,800	Closed	$10,000
Sep 2023	Wind-driven rain — roof flashing (TS Idalia peripheral)	Pool deck cabana structures	$30,600	$30,600	Closed	$10,000

Loss Narratives

Loss 1 — June 2022 — Water Damage — $41,800
A compression fitting on a cold water supply line in a guest corridor wet wall on the 8th floor failed, resulting in water intrusion to three guest rooms and a section of the 7th-floor corridor ceiling. The cause was identified as an isolated manufacturing defect in the fitting assembly. Remediation included water extraction, structural drying, drywall replacement, flooring repair in two rooms, and carpet replacement in the affected corridor section. Following the event, management authorized a precautionary inspection of all copper compression fittings on floors 6 through 12; no further deficiencies were identified. The claim was presented to and paid by Landmark Specialty; no subrogation recovery was pursued. Claim is fully closed with no reserving activity since Q3 2022.

Loss 2 — September 2023 — Wind-Driven Rain — $30,600
Peripheral tropical storm activity from Tropical Storm Idalia produced sustained winds of approximately 52 mph at the property location and resulted in wind-driven rain infiltration through a flashing detail at the rooftop pool deck cabana structures. Affected areas included two cabana interior ceiling panels, lighting fixtures, and a portion of the teak deck surface. The flashing deficiency was a legacy condition at the cabana structures dating from original construction; the 2023 renovation program, which was already underway at the time of the storm, incorporated a full flashing replacement at the pool deck level as part of its scope. Claim is fully closed. No business income impact was reported.

Note: The 5-year lookback period reflects two modest, closed claims with a combined net incurred of $72,400. Both losses were site-specific, non-systemic events. No fire, theft, liability, earthquake, flood, or catastrophic wind losses have been reported during the lookback period. Prior carrier departure was a voluntary market withdrawal from the South Florida hotel segment and does not reflect adverse underwriting action against the Insured.

Section 5 — Property Characteristics & Risk Details

5.1 Construction

Construction Type	Historic / Unreinforced Masonry	ISO Class 6
Structural System	Cast-in-place reinforced concrete frame	
Exterior Cladding	Architectural precast concrete + insulated glass curtain wall	
Number of Stories	19 (main tower) + 1-story conference annex	
Total GBA	770,200 sq. ft. (all structures)	
Year Built	2008	18 years
Renovation Year	2023 — $31.5M comprehensive renovation	Fully documented
Renovation Scope	All guestrooms, lobby, F&B; outlets, spa, HVAC, electrical, plumbing, roof	Permits closed
Roof Type	Flat / TPO (Thermoplastic Polyolefin Membrane)	Main tower + annex
Roof Age	3 Years (replaced 2023)	20-yr warranty
Number of Guest Rooms	388 (including 42 suites)	
Building Code Compliance	Current code — 2023 Florida Building Code (8th Ed.)	Permits on file

The main hotel tower is a 19-story cast-in-place reinforced concrete and structural steel frame structure. Floor-to-floor assemblies are concrete flat plate slabs with no combustible structural elements. The structure was originally designed and permitted to the 2004 Florida Building Code and was recertified to 2023 Florida Building Code standards following the 2023 renovation, at which time all structural, MEP, and life safety systems were brought into full compliance with current code. The conference and event center annex is a single-story concrete tilt-up structure connected to the main tower via a fire-rated glass-and-steel enclosed walkway. The TPO roof membrane was fully replaced across all roofing surfaces in 2023 under a phased project and carries a 20-year manufacturer's warranty backed by a licensed roofing contractor's workmanship bond.

5.2 Occupancy & Operations

Occupancy Type	Hospitality / Hotel	ISO Code 66121
Property Use	Full-service luxury hotel	
Guest Rooms	388 rooms and suites across 19 floors	74% avg. occupancy
F&B; Outlets	3 (Marea Rooftop Bar, Sal Restaurant, La Palma Café)	
Conference / Events	32,000 sq. ft. — 18 meeting rooms; 600-person ballroom capacity	
Spa & Fitness	9,800 sq. ft. full-service spa; 3,000 sq. ft. fitness center	

Pool	Rooftop infinity pool + ground-level pool	
Parking	520-space attached structured garage (6 levels)	
Full-Time Employees	Approximately 294 FTE	
Annual Guest Stays	Approximately 104,000 room nights (2025)	

Kitchen operations for Sal Restaurant involve commercial-grade natural gas cooking equipment. The kitchen is equipped with a UL-300 compliant wet chemical hood suppression system, a Type I commercial exhaust system, and an interlinked fuel shutoff. A semi-annual professional hood and duct cleaning contract is in place with Miami-Dade Fire Suppression Services, LLC. Cleaning records from the past 24 months are available. The Marea Rooftop Bar is a limited-service outlet; no open-flame cooking is performed at that location. La Palma Café is a cold-service poolside outlet.

Section 6 — Valuation Methodology

Valuation Standard	Full Replacement Cost Value (RCV) — RICS-compliant methodology
Appraisal Firm	Rimkus Consulting Group, Inc. (Miami, FL office)
Appraiser	Thomas R. Brinkley, PE, RPA — Certified Commercial Appraiser
Appraisal Date	February 12, 2026
Appraisal Report On File	Yes — full narrative appraisal report enclosed in submission package
Methodology	Marshall & Swift Boeckh commercial cost database; local Miami-Dade construction cost adjustments applied
Local Cost Factors	+12% regional adjustment for South Florida labor and materials market; +5% high-rise complexity factor applied to main tower
Building RCV — Main Tower	$128,500,000 ($312/sq. ft.)
Building RCV — Conference	$14,200,000 ($444/sq. ft.)
Building RCV — Garage	$11,800,000 ($37/sq. ft.)
Building RCV — Pool Deck	$2,100,000 ($339/sq. ft.)
Total Building RCV	$156,600,000
Insurance-to-Value (ITV)	20% or greater — no coinsurance deficiency; full RCV coverage confirmed
Prior Appraisal (2020)	$118,200,000 — 2026 reflects construction cost escalation + renovation value
Content Valuation	BPP schedule provided by insured; reviewed by broker; $11,750,000 total
Inflation Guard	4% annual indexing per appraiser recommendation

Section 7 — Business Income & Extra Expense

BI Coverage Requested	$32,000,000 (Business Income + Extra Expense, combined)
Indemnity Period	24 Months (Extended Period of Indemnity)
BI Period Adequacy	18 months or greater — adequate for full high-rise concrete reconstruction scenario
Gross Revenue (2025)	$41,300,000 (audited; CPA-prepared financial statements available)
Gross Revenue (2024)	$38,700,000
Gross Revenue (2023)	$34,100,000 (renovation suppression effect; H1 2023 partial operation)
Revenue Adequacy	100% or greater of annual revenue — BI limit reflects 24-month revenue exposure
Revenue Trend	Positive — 6.7% YoY growth (2024–2025); recovery complete post-COVID
BI Basis	Gross earnings basis — covers continuing expenses + net income during interruption period
Extra Expense Sublimit	$2,500,000 included within BI limit
Waiting Period	72-hour waiting period (3 days)
Dependent Property Exposure	None identified; no single supplier/customer dependency
Key Revenue Segments	Room revenue 64%, F&B; 18%, Events/Banquet 12%, Spa/Other 6%

A 24-month extended indemnity period has been selected in recognition of Miami-Dade's active construction market and the realistic timeline for full high-rise concrete reconstruction following a major property loss. The county building permitting process for structures of this scale and occupancy type typically adds 4–6 months to the physical reconstruction period. Current market construction lead times for reinforced concrete high-rise hotel construction in South Florida are estimated at 20–26 months for a structure of this size. The $32,000,000 BI limit equates to approximately 77% of 2025 gross revenue, reflecting expected partial operation capability during the early stages of any reconstruction scenario. Three years of audited financial statements are enclosed in the submission package.

Section 8 — Special Hazards & Catastrophe Exposure

8.1 Flood

FEMA Flood Zone	Zone AE / A (Base Flood Elevation)
FEMA Map Panel	12086C0306L — Effective September 11, 2009
Base Flood Elevation (BFE)	8.0 ft NAVD88
Finished Floor Elevation	11.2 ft NAVD88 — 3.2 ft above BFE
Elevation Certificate	On file — survey date March 2024; certified by licensed Florida surveyor
Flood Mitigation	Below-grade parking garage has flood barriers (FloodBreak passive barriers rated for 3 ft inundation); no critical MEP equipment below grade
NFIP Policy	NFIP flood policy in force — $500,000 building / $100,000 contents (maximum available); separate flood coverage recommended for full TIV gap
Flood History (Site)	No flood losses in 18-year operating history; property was not inundated during Hurricanes Irma (2017) or Ian (2022)

8.2 Wind / Hurricane

Wind Zone	Zone 4 (High-Velocity Hurricane Zone — South Florida)
Florida Wind Code	HVHZ — Miami-Dade / Broward County High Velocity Hurricane Zone requirements apply
Design Wind Speed	175 mph (ASCE 7-16 / 2023 FBC — 3-second peak gust at 33 ft AGL)
Glazing / Opening Protection	Impact-resistant glazing throughout (PGT Winguard system); Miami-Dade NOA certified; installed 2008 and recertified 2023
Roof Fastening	TPO membrane mechanically attached; enhanced edge metal; wind uplift rated to HVHZ standard
Hurricane Shutters	Not required — impact glazing serves as compliant opening protection per Miami-Dade Code
Wind History (Site)	Minor wind-driven rain loss (Sep 2023, $30,600) — no structural wind damage in operating history
CAT Model PML (250-Yr)	Approximately 18–22% of TIV (estimated; formal AIR/RMS model available upon request)

8.3 Earthquake

Seismic Zone	USGS Seismic Zone A — Very Low Hazard
Earthquake PML (% TIV)	< 5% (de minimis seismic exposure; Miami-Dade not a seismic market)
Structural Commentary	Reinforced concrete construction provides inherent lateral resistance; no seismic-specific engineering required or applicable in this jurisdiction

8.4 Wildfire

Wildfire Risk Score	0–25 (Low)
Commentary	Urban Miami location presents no material wildfire exposure; property is surrounded by paved surfaces, structures, and Biscayne Bay; no WUI (Wildland-Urban Interface) classification

8.5 Other Hazards

Hail Risk	Low — South Florida hail frequency is significantly below national average
Tornado Risk	Low — Miami-Dade has minimal tornado history; primary wind threat is tropical cyclone

Storm Surge	Elevation certificate confirms FFE above BFE; passive flood barriers installed; storm surge sublimit recommended
Sinkhole	Miami-Dade County is not in the primary sinkhole zone of Central Florida; geotechnical report from 2007 site development on file — no karst features identified

Section 9 — Current & Expiring Policy Details

Expiring Carrier	Landmark Specialty Insurance Company (Lloyd's Coverholder)
Policy Number	LSI-CP-2025-87441
Policy Period	April 1, 2025 – April 1, 2026
Prior Carrier Departure	Voluntary / market exit
Departure Reason	Landmark exited South Florida hotel segment effective 2026 renewals; no adverse underwriting action against insured
Prior Departure Documentation	Non-renewal notice dated December 14, 2025 (enclosed); written confirmation of market withdrawal rationale from Landmark underwriting available upon request
Expiring Building Limit	$142,000,000 (2025 appraisal basis — now superseded by 2026 appraisal)
Expiring BPP Limit	$10,500,000
Expiring BI Limit	$28,000,000 / 18-month indemnity period
Expiring Building Deductible	$25,000 AOP; Named Storm: 5% of insured value per occurrence (min. $100,000)
Expiring Wind Deductible	5% of insured value per occurrence (Named Storm)
Expiring Flood Coverage	Excluded from property policy; NFIP policy maintained separately
Expiring Premium	$312,400 (all-in; wind included)
Payment History	Timely — no missed or late payments in 5-year relationship with Landmark
Requested Building Limit	$156,600,000 (per 2026 appraisal)
Requested BPP Limit	$11,750,000
Requested BI Limit	$32,000,000 / 24-month indemnity period
Requested AOP Deductible	$25,000
Requested Wind Deductible	5% TIV per occurrence (Named Storm); 2% TIV (non-named wind)

Section 10 — Protection & Risk Management

10.1 Fire Protection

Sprinkler System	NFPA 13 Wet Pipe – 100% coverage
Sprinkler Coverage	All guestroom floors, corridors, back-of-house, kitchen, conference center, garage, and spa — no unsprinklered areas
Sprinkler Vintage	Original 2008 installation; heads replaced 2023 renovation as part of MEP upgrade
Last Sprinkler Inspection	October 2025 — Annual wet pipe test; performed by SimplexGrinnell / Johnson Controls — no deficiencies noted
Fire Alarm System	UL-Listed Central Station Monitored
Monitoring Provider	SimplexGrinnell (ADT commercial division) — 24/7 UL-certified central station; direct fire department notification protocol in effect
Alarm Last Tested	October 2025 — semi-annual test; no deficiencies
Kitchen Suppression	UL-300 wet chemical hood suppression — Sal Restaurant kitchen; semi-annual service by Miami-Dade Fire Suppression Services, LLC
Last Fire Inspection	November 2025 — Miami-Dade Fire Rescue (Station 7) — Certificate of Occupancy re-confirmed; no open citations
Portable Extinguishers	Throughout all areas; monthly visual inspection log maintained; annual service by licensed contractor

10.2 Security

Security System	Central-monitored + video + guard service
Guard Program	Three uniformed guards on duty 24/7 (peak hours: 4 guards); guards are licensed Florida security officers; background-checked annually
CCTV System	88-camera IP-based digital CCTV system; 120-day cloud-based storage; all entry/exit points, garage levels, and common areas covered
Access Control	Hotel-grade key card access at all guestroom floors, back-of-house corridors, server rooms, and mechanical areas
Perimeter	Controlled vehicle access; bollards at main entrance; valet-managed drop-off/pick-up
Security Monitoring Provider	ADT Commercial — central station burglar alarm + panic button system

10.3 Building Systems

Electrical System Age	3 Years (full replacement 2023 — all panels, distribution, wiring)
Electrical System Type	Commercial 480V/277V 3-phase; copper wiring throughout; no aluminum branch wiring
Electrical Certification	2023 renovation — all electrical work permitted and inspected by Miami-Dade Building Dept.; master electrician sign-off on file
Plumbing System Age	3 Years (full replacement 2023 — all supply lines, DWV systems)
Plumbing Materials	Type L copper supply lines (replaced 2023); cast iron DWV — no galvanized or polybutylene piping
Plumbing Maintenance	Quarterly preventive maintenance by Comfort Systems USA (licensed plumbing contractor)
HVAC System Age	3 Years (full VRF system replacement 2023)
HVAC System Type	Variable Refrigerant Flow (VRF) systems per floor; dedicated DOAS ventilation units; Daikin Applied equipment
HVAC Maintenance	Bi-annual comprehensive service; Johnson Controls service agreement; filter, coil, and damper records maintained
Backup Power	Generator — single unit
Generator Details	650 kW Caterpillar diesel standby generator; automatic transfer switch; 10-day fuel supply on-site; tested monthly under load
Generator Coverage	Life safety, emergency lighting, elevators, fire pump, front desk / PMS, server room; full-hotel power restoration within 45 seconds
Elevator / Escalators	8 passenger elevators; 2 service elevators; 2 freight elevators; Florida DBPR annual inspection — compliant, 2025

10.4 Vacancy & Occupancy

Vacancy Rate	80–95% (Effectively zero vacancy — fully operational hotel)
Seasonal Consideration	Miami market — peak season November through April; off-peak June through September; no extended vacancy periods
Renovation Protocol	Any future renovation phases will be executed on a floor-by-floor basis with all life safety systems maintained active throughout; no full-building shutdown anticipated

Section 11 — Compliance & Regulatory Details

Building Code Compliance	Current code (within 5 years) — 2023 Florida Building Code, 8th Edition
Certificate of Occupancy	Current — re-issued following 2023 renovation; Miami-Dade County Building Dept.
ADA Compliance	Fully compliant
ADA Basis	2023 renovation incorporated full ADA / Title III audit and remediation; all accessible guest rooms, public restrooms, entrances, pool access, and spa facilities meet or exceed current ADA standards; compliance documentation from certified accessibility consultant enclosed
Environmental Assessment	Phase I – Clean

Phase I Date & Provider	January 2025 — ECS Florida, LLC — No Recognized Environmental Conditions (RECs) identified; property is in a commercial corridor with no prior industrial or petroleum use history
Risk Management Program	Formal ERM (ISO 31000 / RIMS)
ERM Details	Board-approved Enterprise Risk Management framework in place since 2019; annual risk register reviewed by ownership group; quarterly loss control reporting to ownership; risk management manual available upon request
Deferred Maintenance	0–2 (Minimal)
Maintenance Program	Preventive maintenance managed via Unifocus hospitality PMS platform; no open work orders exceeding 14-day resolution threshold; all major systems under active service contracts
Claims Litigation	None — no open claims, no coverage disputes, no litigation against any carrier
Workers Compensation	Separate WC policy with Hartford Financial Services Group; 2-year MOD: 0.87 (favorable); no lost-time claims exceeding 21 days in 5 years
Liquor Liability	Separate liquor liability endorsement under GL policy — Tokio Marine / HCC
Food Safety	Miami-Dade County Health Department restaurant inspections — all outlets rated 'A' (compliant); most recent inspection September 2025
Franchise / Brand Audit	Annual Preferred Hotels & Resorts LVX brand inspection — 2025 score: 94/100 (above brand average)

The Insured maintains comprehensive regulatory compliance across all applicable federal, state, and county requirements. The property holds all required permits, licenses, and certifications including: Florida Hotel & Restaurant License (Division of Hotels & Restaurants — current), Miami-Dade Business Tax Receipt (current), Florida Liquor License (Series 4COP — current), and elevator operating certificates from the Florida Department of Business and Professional Regulation (DBPR). No outstanding violations, citations, or regulatory orders exist as of the submission date.

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This submission document is prepared for insurance placement purposes only and is confidential. The information contained herein is based on data provided by the Insured and believed to be accurate as of the submission date of March 18, 2026. Harbor Point Commercial Insurance Brokers, LLC makes no warranty of completeness. Supporting documentation is available upon request.